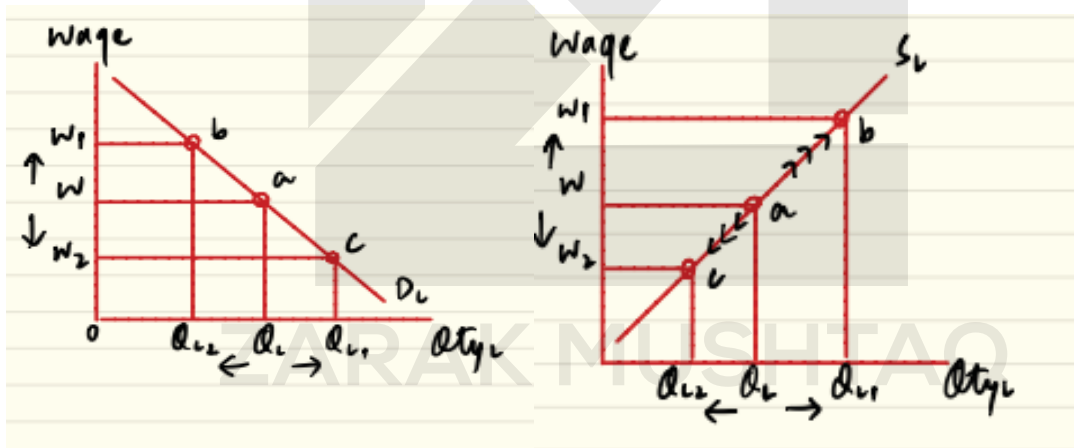


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The demand for labor: Firms and government organizations employ labor and other resources to produce goods and services. The demand for labor is therefore derived from the fact that people and other organizations want and need goods and services. It follows that the more goods and services demanded, and the higher their price and therefore the revenue from their sale, the more then demand for labor is likely to be.

The wage rate paid for a particular job can be per hour, per week, per month or even a fixed amount per year known as a salary. Wages can be linked to labor productivity in a number of ways. Many workers receive a basic wage payment for a fixed number of hours of work each week, but may be able to increase their total wages by working extra hours. In contrast piece rates link directly to productivity by paying each worker a fixed amount of money for each unit of output they produce. Some workers may also receive performance related pay linked to higher profits or revenues in the firms they work in. The take home pay or earnings of a worker may therefore be more than just his or her basic wage and may include overtime and bonus payments.



The supply of labor: The total supply of labor in an economy is its labor force. The supply of labor to a particular labor market for an occupation will depend on how many people are willing and able to do the jobs on offer.

The extent to which earnings change

The magnitude of the change in the wage rate due to a change in demand for, or supply of, labour is influenced not only by the size of the change, but also by the

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elasticity of demand for labour and the elasticity of supply of labour. Figure 18.7 shows demand for labour increasing by the same amount in both cases, but the impact on the wage rate is much greater in the first case where both the demand and supply of labour are inelastic.

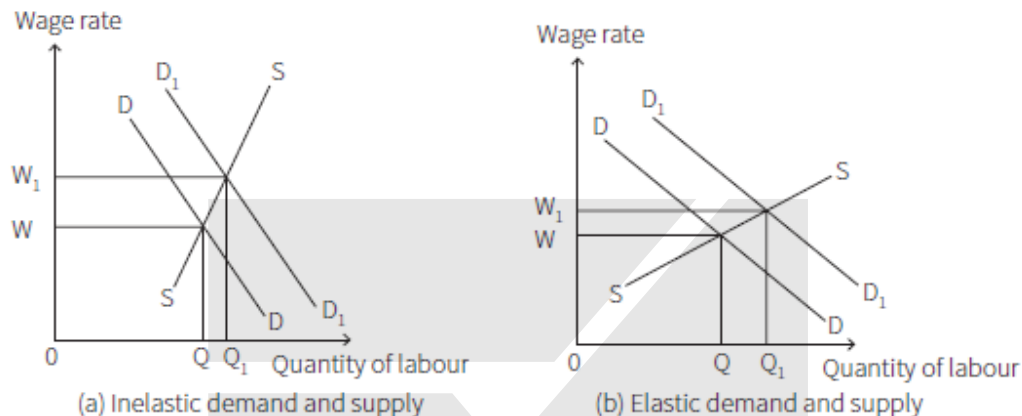


Fig. 18.7: The influence of elasticity on the effect of an increase in demand for labour

The main determinants of **elasticity of demand** for labour are:

- The proportion of labour costs in total costs. If labour costs form a large proportion of total costs, a change in wages would have a significant impact on costs and hence demand would be elastic.
- The ease with which labour can be substituted by capital. If it is easy to replace workers with machines, demand would again be elastic.
- The elasticity of demand for the product produced. A rise in wages increases costs of production which, in turn, raises the price of the product. This causes demand for the product to contract and demand for labour to fall. The more elastic the demand for the product is, the greater the fall in demand for it and hence for workers, making demand for labour elastic.
- The time period. Demand for labour is usually more elastic in the long run as there is more time for firms to change their methods of production.

There are also a number of determinants of **elasticity of supply** of labour. These are:

- The qualifications and skills required. The more qualifications and skills needed, the more inelastic supply will be. For example, a large increase in the wage paid to brain surgeons will not have much effect on the supply of

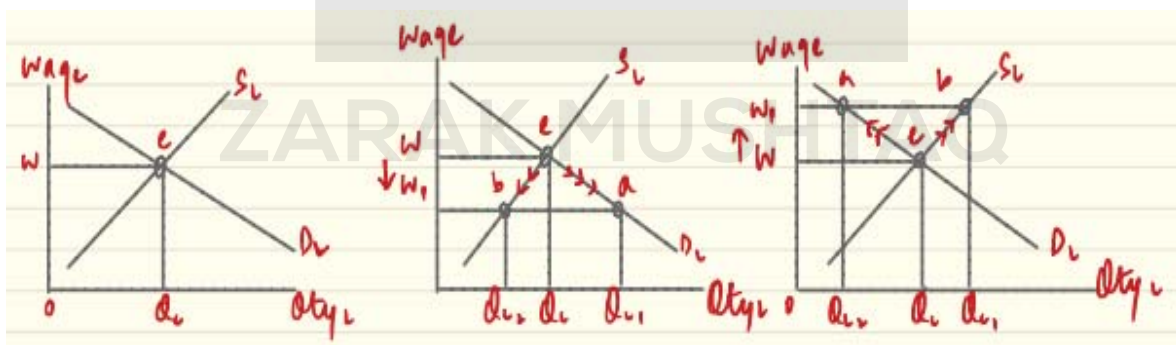
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labour. This is especially true in the short-run, as it will take years to gain the required qualifications and experience.

- The length of training period. A long period of training may put some people off the occupation. It will also mean that there will be a delay before those who are willing to take it up are fully qualified to join the labour force. Both effects make the supply of labour inelastic.
- The level of employment. If most workers are employed already, the supply of labour to any particular occupation is likely to be inelastic. An employer may have to raise the wage rate quite significantly to attract more workers and encourage the workers employed in other occupations to switch jobs.
- The mobility of labour. The easier workers find it to change jobs, or to move from one area to another, the easier it will be for an employer to recruit more labour by raising the wage rate. Thus, higher mobility makes the supply elastic.
- The degree of vocation. The stronger the attachment of workers to their jobs, the more inelastic supply tends to be in case of a decrease in wage rate.
- The time period. As with demand, supply of labour tends to become more elastic over time. This is because it gives workers more time to notice wage changes and to gain any qualifications or undertake any training needed for a new job.

The market wage for a job



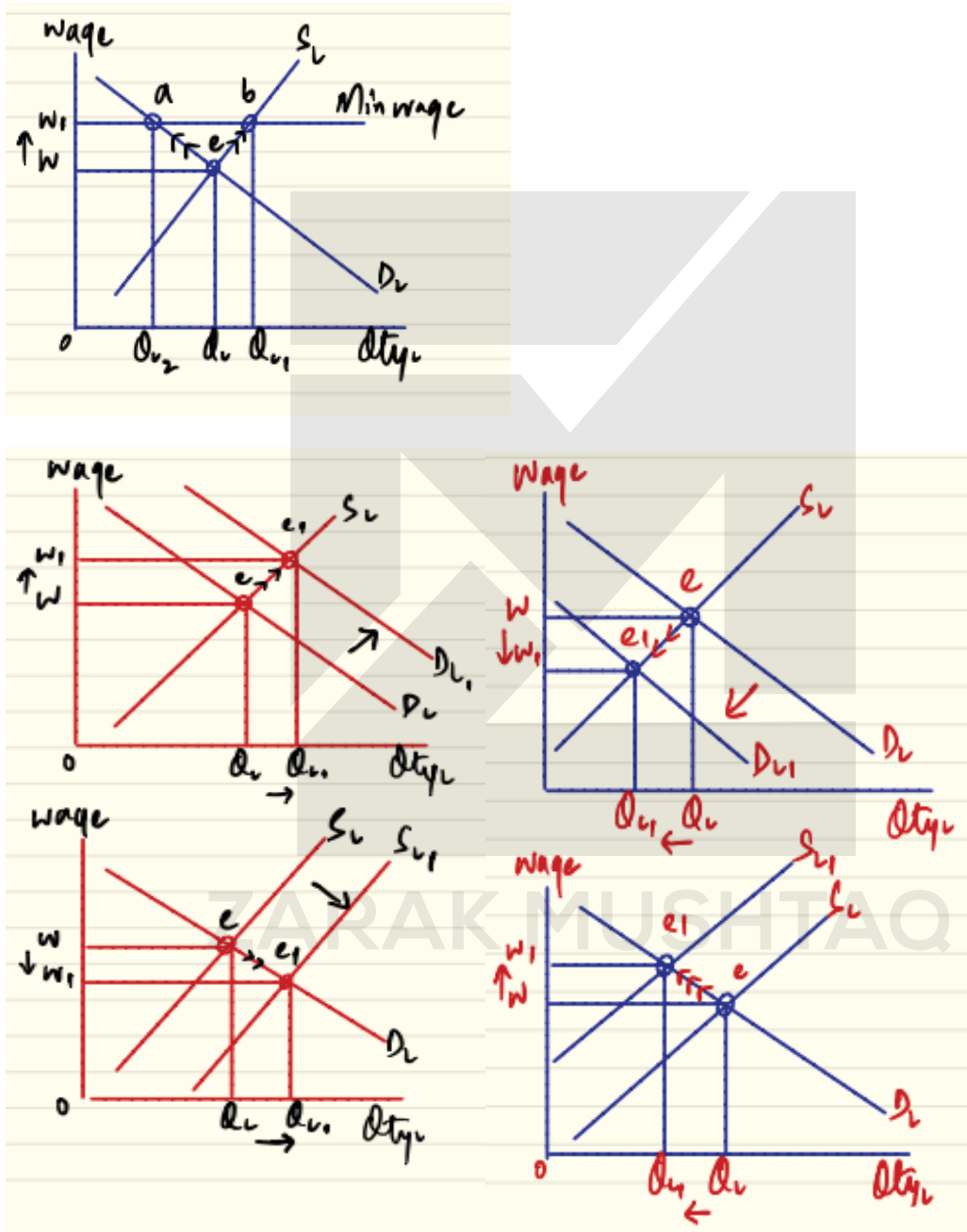
Any labor market will consist of the demand for, and the supply of labor of a particular group of workers. Just as in the markets for goods and services the equilibrium wage, or market price, of labor in a particular job will be determined by

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the forces of labor demand and labor supply. The equilibrium wage for a particular job can be illustrated graphically as shown above.

Government intervene in the labor market to protect the workers by imposing the minimum wage to protect the income of the workers (e.g. farmers)



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Factors affecting (shift) in the demand for labor:

1. **Consumer demand for goods and services:** If consumer demand rises, firms may expand output in response. To do so they will tend to increase their demand for labor. This may initially mean asking their existing workers to work overtime, but may also involve hiring more workers if the increase in consumer demand is permanent. Changes in the pattern of consumer demand over time, due to population changes, and changing tastes, can therefore mean demand for some types of labour will be rising while for other is falling.
2. **Increasing productivity:** If labor becomes more productive and adds more value to output over and above their wage costs, then firms may demand more labor. New technologies and working methods, and training programmes, can help increase the productivity of labor.
3. **Changes in the price and productive of capital:** If machinery and equipment becomes cheaper or more productive relative to labor, then a firm may replace labor with more capital-intensive production methods.
4. **Changes in other employment costs:** Wages are not the only cost to an organization of employing people to work. For example, employers in many countries have to pay social security contributions for each worker they employ. If these are increased by the government then the demand for labor may fall. Regulations may also change over time, requiring employers to spend more on health and safety equipment in their workplaces in order to protect their workers.

Factors affecting (shift) in the supply for labor:

1. **Changes in the net advantages of an occupation:** A person looking for paid employment is likely to compare the advantages and disadvantages of different jobs before reaching a decision. For example, in addition to wages they may consider the number of hours they are required to work and when, holiday entitlements, promotion prospects and how secure each job is. There may also be fringe benefits such as a company car, free medical insurance, increased pensions and a subsidized canteen. All the factors that affect the attractiveness of a job are called its net advantages.

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2. **Demographic changes:** Changes in the size and age distribution of the population in a country will also cause changes in labor supply to different occupations. For example, inward migration into many developed economies has helped boost the supply of labor to many occupations.
3. **Education and training:** Changes in the level and type of education and training courses offered can increase the supply of workers with different skills. For example, the introduction of courses in computer programming and cellular engineering has increased the number of people able to supply these skills to jobs that require them.

Why do people earn different amounts?

1. Workers do not all have the same education, training and ability for example an accountant is more skilled workers than a cashier. If both workers were paid the same amount, very few people would be willing to undertake the many years of study to become an accountant because the training period is so long for some jobs, the supply of these particular workers may be very low and as a result their wages may be very high. For example it takes doctors over six years to qualify to do their jobs.
2. Some jobs are dirty or dangerous and so workers must be paid more in order to do them. Some people have to work at nights or other unsociable hours and may be paid more to compensate for this.
3. Certain jobs, for example nursing are thought by some people to give a lot of jobs satisfaction and so people are prepared to do them without very high pay.
4. Some time workers work for less than they could earn simply because they do not know about better paid jobs elsewhere. Lack of information about jobs is one reason for differences in earning.
5. People may earn different amounts because some workers may not wish to leave their families and friends in order to move to a better paid job elsewhere. At the same time, other workers would like to be able to move to a better paid job, but may not be able to do this because they cannot afford housing in new area. The ease with which workers can move between jobs and different part of the country is known as labor force mobility

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International pay differentials: Many international comparisons of wages and earnings is difficult. Data is not always available. However, it is clear that there are significant pay differentials between countries. Wages on average are higher in developed countries than in developing and less developed countries even after adjusting for prices and living costs which are often much higher in developed countries.

Real income and consumer spending on goods and services is far higher in developed countries. In less developed countries income are generally low and consumer spending is, therefore, also low. Hence, countries with low economic development tend to have few industries and generally low demand for labor. Most people in less developed countries are employed in agriculture.

However, less developed countries have large potential labor forces but skills levels are relatively low. The combination of an abundant supply of labor with low demand for labor means wages will tend to remain low in many less developed countries. In contrast, wage levels are now starting to rise rapidly in fast developing economies such as China and India as the demand for goods and service, both at home and overseas, grows rapidly and, consequently, the demand for labor from a growing number of industries increases.

Trade unions

Trade unions are associations of workers formed for the purposes of improving the pay and working conditions of their members. Over the years, trade unions have played an important part of achieving better working conditions for workers, as well as protection from unfair dismissal, the right to compensation for injury at work, the right to redundancy pay and many other benefits. Many people however see the major role of the trade unions as representing the workers in wage negotiation.

The aims of trade unions (functions)

1. Unions will try to secure improvements in sick pay, pensions and industrial injury benefit. Unions will also provide strike pay and legal aid for its members.

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2. To improve health and safety conditions, reduce hours of work and increase holidays. In trying to secure better pay and conditions, unions will protect their members against management interest.
3. Unions provide training for their members. Particular emphasis is put on the training of new member and apprentices in the work skills they require.
4. To ensure their members interests are represented and considered in all aspects of national life. Unions are also represented in government and industry meetings such as on the Monopolies and Mergers Commissions.

Types of trade unions

Trade unions are associations of workers formed to represent their interests and improve their pay and working conditions. There are four main types of trade unions. These are:

- Craft unions. These represent workers with particular skills, for example plumbers and weavers. These workers may be employed in a number of industries.
- General unions. These unions include workers with a range of skills and from a range of industries.
- Industrial unions. These seek to represent all the workers in a particular industry, for example, those in the rail industry.
- White collar unions. These unions represent particular professions, including pilots and teachers.

Unions in a country often belong to a national union organization. For example, in India, a number of unions belong to the All India Trade Union Congress (AITUC). This is the oldest and one of the largest trade union federations in the country. A number of them also belong to international trade union organizations such as the International Trade Union Confederation which has 340 affiliated organizations in 163 countries.

Collective bargaining

An individual worker may not have the skill, time or willingness to negotiate with her or his employer. A worker is also likely to have limited bargaining power. If she, or he, presses for a wage rise or an improvement in working conditions, the

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employer may be able to dismiss her, or him, and take on someone as a replacement. Trade unions enable workers to press their claims through collective bargaining. This process involves negotiations between union officials, representing a group of workers, and representatives of employers.

The basis of wage claims

There are a number of arguments a trade union can put forward while asking for a wage rise.

- One is that the workers deserve to be paid more because they have been working harder and have increased productivity.
- Another argument is that an industry whose profits have risen can afford to pay higher wages to its workers. This argument may be linked to the first one as the workers are likely to have contributed to the higher profits.
- A third argument is known as the comparability argument. A union may argue that the workers it represents, should receive a pay rise to keep their pay in line with similar workers. For example, a union representing nurses may press for a wage rise if doctors are awarded higher pay. The nurses' union is unlikely to ask for the same pay as doctors. What is more likely is that they will seek to maintain their wage differential. So, if before the rise of doctors' pay, nurses received a wage that was 60% of the doctors' earnings, they are likely to demand a rise that will restore this differential.
- A fourth argument that is often put forward is that workers need a wage rise to meet the increased cost of living. If the price level is rising by 6%, workers will need a wage rise of at least 6% to maintain their wage's purchasing power. This is sometimes referred to as maintaining their real income (income adjusted for inflation).

Factors affecting the strength of a trade union

Among the factors which empower a trade union are:

- A high level of economic activity. If output and income in a country are increasing, most industries are likely to be doing well, and so should be able to improve the pay and conditions of workers. When output reaches high levels and most people who want to work are employed, firms will be competing for workers. To retain their existing workers and to recruit more workers, firms

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are likely to be more willing to agree to union requests for higher pay and better working conditions.

- A high number of members. The more members a union has, the more funds it is likely to have to finance its activities. Also, the employers will find it difficult to replace union labour by non-union labour in such a scenario.
- A high level of skill. Unions representing skilled workers are in a relatively strong position, as it can be difficult to replace their workers with other skilled workers and expensive to train unskilled workers.
- A consistent demand for the product produced by the workers. Unions that represent workers making goods and services that are essential to consumers are in a strong position to bargain.
- Favorable government legislation. A union will be in a stronger position if laws allow trade unions to take industrial action.

Industrial action

If negotiations break down on wage claims, or disputes occur over working conditions, there is a range of industrial actions that can be initiated by a union in support of its claim. There could be an overtime ban, with workers refusing to work longer than their contracted hours. Workers may also 'work to rule'. This involves workers undertaking the tasks required by their contracts only.

The most well-known form of industrial action, however, is a strike. This involves workers withdrawing their labour. A strike can be official or unofficial. An official strike is one which is approved and organized by the union. In contrast, an unofficial strike is one which has not been approved by the union. This can occur when the strike is called by local union representatives and is over before the union has the time to approve it, or in the cases when the union does not agree with the action. Strike action can be measured in three main ways.

These are:

- the number of strikes
- the number of workers involved
- the number of working days lost.

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The last measure gives the clearest indication of the impact of the strike on the economy. Governments often try to prevent strikes by encouraging unions' and employers' representatives to go to arbitration, in case negotiations break down. Arbitration concerns the involvement of a third party seeking to reach an agreement. The arbitrator may be a government body or an independent third party chosen by both the parties.

Why might some workers not belong to a trade union?

1. Cost of annual fee/subscription fee might be expensive
2. Worker might be satisfied with his/her job
3. Worker might not agree with views or actions of union.

Effects of trade union on the economy

Positive

1. Can work with employers, not always against them
2. Can work with government, e.g. to support legislation

Negative

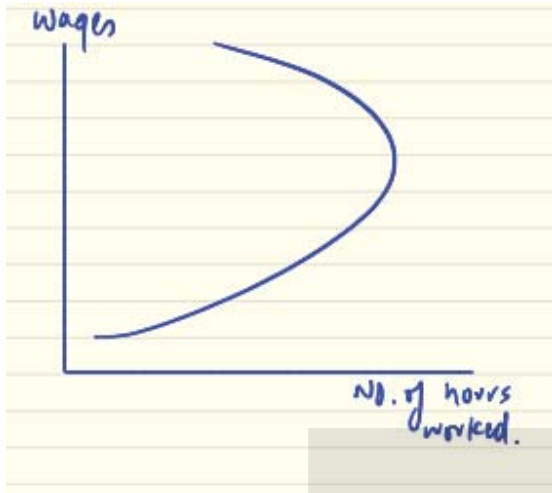
1. There might be industrial action
2. Powerful unions/industrial action could lead to disruption of the economy
3. This could lead to a firm going out of business, causing an increase in unemployment
4. This could affect output and damage reputation of country
5. Powerful trade unions could lead to higher wages making products uncompetitive in world markets, results in cost push inflation & demand pull inflation

Changes in earnings:

1. Relatively low earnings to begin with
2. Gradual increase in earnings as more experience is gained
3. Earnings will reach a maximum as a person reaches their full potential
4. Earnings fall, after employment ends, reliance on pension

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The diagram shows backward bending supply curve. This process shows when an individual earning change throughout its period of job. Initially to earn higher wages, worker need to work harder and provide more hours of work and forgone leisure (opportunity cost) but after certain period of time when receiving promotion, the particular worker can earn more and work less, which means enjoying more leisure hours.

ZARAK MUSHTAQ

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